

discounted value of your human capital is quite high. If you die (or become permanently disabled, unable to work, and so on) during your thirties, forties, or fifties, your family and dependents lose many years of your human capital. While the probability of this loss is generally small, the relative magnitude of this financial loss can be enormous and devastating. If these two elements are combined, the need for life insurance falls in the upper-left corner of Figure 2.2, and you should buy insurance to cover this risk.

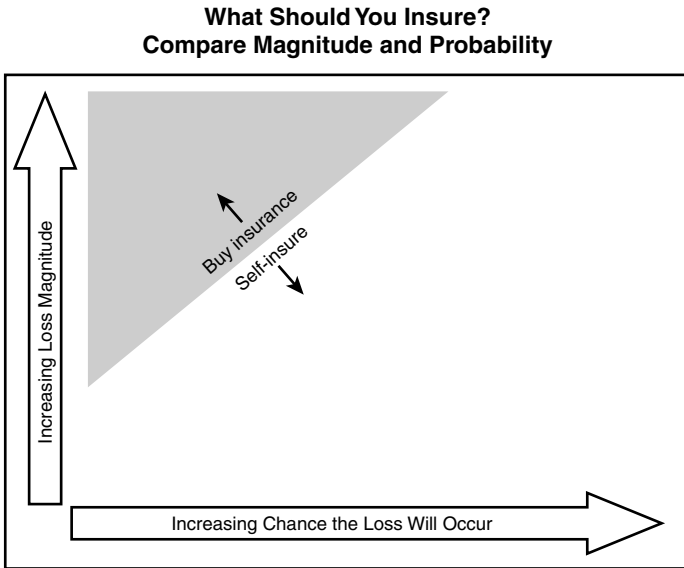


Figure 2.2 Insurance theory—don't waste your premiums.

This might seem like a very cold and detached way of looking at the value of a human life. After all, humans are worth far more than the value of our future wages and pensions. We would give many millions of dollars to bring our loved ones back, much more than what they could have earned or the value of their pensions. But my single most important comment about life insurance is that it is a risk management instrument meant to financially protect your loved ones upon your passing, not to compensate them for the psychological pain associated with your demise. No sum of money can do that.